

Bill C-27: A Comprehensive Deep Dive on Canada's Failed Digital Charter Implementation Act, 2022

TL;DR

- Bill C-27, the **Digital Charter Implementation Act, 2022**, was a sweeping federal package that bundled three separate laws — the **Consumer Privacy Protection Act (CPPA)** to replace the 25-year-old PIPEDA, the **Personal Information and Data Protection Tribunal Act (PIDPTA)** to create a new enforcement tribunal, and the **Artificial Intelligence and Data Act (AIDA)** to become Canada's first AI law — and it died on the Order Paper when Parliament was prorogued on **January 6, 2025**, after roughly two-and-a-half years and only about ten clauses of clause-by-clause review completed. (Gowling WLG)
- The bill's failure reflected genuine, cross-partisan substantive disagreement (not just bad parliamentary luck): privacy advocates and Canada's Privacy Commissioner objected to the CPPA's commercial framing and "legitimate interest" exception, civil society and academics (Michael Geist, Teresa Scassa, the Centre for Digital Rights, OpenMedia, the Citizen Lab, the Assembly of First Nations and others) condemned AIDA as a "placeholder" drafted without genuine consultation, and most parties agreed AIDA should have been decoupled from privacy reform.
- Under Prime Minister Mark Carney, the new **Minister of Artificial Intelligence and Digital Innovation, Evan Solomon**, confirmed in 2025 that Bill C-27 will not be reintroduced in its old form; instead, the government plans separate privacy and AI legislation, with privacy reform expected as early as fall 2025 or early 2026 and AIDA explicitly off the table as drafted — meaning Canadian businesses will continue operating under PIPEDA (2000) and a patchwork of provincial laws (notably Quebec's Law 25) for the foreseeable future.

Key Findings

1. Bill C-27 was an omnibus package of three distinct laws. Introduced on June 16, 2022, by Minister of Innovation, Science and Industry François-Philippe Champagne, it would have (a) repealed Part 1 of PIPEDA and replaced it with the CPPA; (b) created a new administrative tribunal (PIDPTA) to hear appeals and impose monetary penalties; and (c) enacted AIDA to regulate "high-impact" AI systems in interprovincial and international trade. It was the successor to Bill C-11 (Digital Charter Implementation Act, 2020), which had been introduced by then-Minister Navdeep Bains and died when Parliament dissolved before the 2021 election.

(Library of the Canadian Par...)

2. The bill cleared second reading on April 24, 2023 and was referred to the House of Commons Standing Committee on Industry and Technology (INDU). INDU heard from a large number of witnesses (137 witnesses, 113 briefs filed) over nearly two years, but **clause-by-clause review only began on April 8, 2024**, paused on May 29, 2024, and never resumed before prorogation.

Only about 10 amendments were adopted, all confined to the preamble and definitional sections of the CPPA. The committee never reached AIDA at clause-by-clause. (Montrealethics)

(Gowling WLG)

3. The government tried to rescue the bill with major mid-stream amendments. Minister Champagne's letter of October 3, 2023 to INDU, followed by a much more detailed package on November 28, 2023, proposed substantial rewrites — recognizing privacy as a fundamental right; better protecting minors; introducing for the first time seven enumerated classes of "high-impact" AI systems in a schedule; new obligations for general-purpose AI like ChatGPT; and aligning AIDA's AI definition with the OECD's. Critics including Andrew Clement called the package "an attempted rewrite" longer than the original Act, and most witnesses had testified before the amendments were public. (Office of the Privacy Com...)

4. The CPPA would have substantially modernized Canadian private-sector privacy law. It would have introduced GDPR-like individual rights (data portability, right to deletion/erasure, algorithmic transparency for "automated decision systems" with "significant impact"), required mandatory privacy management programs, special protection for minors' information (deemed sensitive), new exceptions to consent for "business activities" and "legitimate interests," and very large penalties — administrative monetary penalties up to **the higher of CA\$10 million or 3% of global revenue**, and for the most serious quasi-criminal offences, up to **the higher of CA\$25 million or 5% of global revenue** — the highest available in the G7. (Bdplaw + 2)

5. PIDPTA would have created a novel two-step enforcement structure in which the Privacy Commissioner could investigate, hold inquiries, and recommend penalties, but only the new three-to-six-person Tribunal could actually impose administrative monetary penalties. This was widely criticized — the OPC, Conservatives, NDP and OpenMedia all argued no other "substantially similar" Canadian jurisdiction (nor the UK, EU, New Zealand or Australia) has such a tribunal, and that it would slow enforcement and add a fourth layer of review. (Blakes)

(Our Commons)

6. AIDA was the most controversial component. As tabled, AIDA defined neither "high-impact" systems nor most of its substantive obligations — virtually everything was deferred to future regulations to be drafted by ISED. In his April 2023 post "Why the Government Should Hit the Regenerate Button on its AI Bill," Michael Geist wrote that "the bill is limited in principles and severely lacking in detail... Canadians deserve better than virtue signalling on the issue with a bill that never received a full public consultation," and concluded that "the right response would be to hit the regenerate button and start over." The Champagne amendments added a Schedule 2 listing seven initial classes of high-impact systems: (i) employment-related decisions; (ii) provision of services; (iii) biometric information processing; (iv) content moderation/prioritization on online platforms; (v) health care and emergency services; (vi) courts and administrative bodies; and (vii) assistance to peace officers. Penalties included administrative monetary penalties up to **3% of global revenue or CA\$10 million** for ordinary contraventions, up to **5% of global revenue or CA\$25 million** for serious offences, and new

criminal offences carrying fines or up to five years' imprisonment for reckless or fraudulent deployment of AI causing serious harm. (Michael Geist + 6)

7. The Champagne amendments did not satisfy most critics. The proposed AI and Data Commissioner remained a senior official within ISED — the same department that promotes the AI industry — preserving what numerous witnesses (the Privacy Commissioner, Andrew Clement, the Centre for Digital Rights, CUPE, the Canadian Chamber of Commerce) flagged as a conflict-of-interest. AIDA still excluded the federal public sector, contained no "unacceptable risk" prohibitions like the EU AI Act (e.g., social scoring, untargeted facial-recognition scraping), and exempted national security activities. The First Nations Information Governance Centre and the Assembly of First Nations both argued AIDA and the CPPA had been drafted without the consultation required under the UN Declaration on the Rights of Indigenous Peoples and disregarded the OCAP® principles (Ownership, Control, Access, Possession).

(Office of the Privacy Com...)

(Our Commons)

8. Bill C-27 died on January 6, 2025. Prime Minister Justin Trudeau announced his resignation and Governor General Mary Simon prorogued Parliament until March 24, 2025. A snap election was called for April 28, 2025, returning a Liberal minority under Prime Minister Mark Carney. The new government created a Ministry of Artificial Intelligence and Digital Innovation, and Minister **Evan Solomon** has publicly stated that AIDA will not be reintroduced as drafted and that any AI law will be a separate bill from privacy reform, signalling a "light, tight, right" regulatory philosophy. (Fasken + 3)

Details

1. The Three Components of Bill C-27

a. The Consumer Privacy Protection Act (CPPA) — Part 1

The CPPA was the **centerpiece** of Bill C-27. It would have **repealed Part 1 of PIPEDA** (renaming PIPEDA the "Electronic Documents Act") and re-codified, modernized and expanded Canada's federal private-sector privacy regime. (Parliament of Canada) (Lexology)

Key features:

- **Restructured rules:** PIPEDA's privacy principles, which sat awkwardly in a Schedule borrowed from a 1996 Canadian Standards Association Model Code, would have been rewritten as substantive statutory provisions. (Centre for International Go...)
- **Consent:** Express consent would have remained the default, with implied consent allowed where appropriate; organizations would have had to provide plain-language information about purposes, uses, and disclosures. (Lexology)
- **New exceptions to consent:** a "business activities" exception (e.g., for activity necessary to deliver a product or service, due diligence, system security) and, more controversially, a

new "**legitimate interests**" exception modelled loosely on the GDPR. (McCarthy)

(Open Parliament)

- **New individual rights:** right of access; **right of disposal/deletion** (the closest Canada has come to a "right to be forgotten"); **right to data portability** between organizations under interoperable frameworks; and a **right to an explanation of "automated decision systems"** that have a "significant impact" on the individual. (Caravel Law) (Caravel Law)
- **Strong protections for minors:** a minor's personal information would have been deemed sensitive, triggering higher protections and shorter retention periods. (Office of the Privacy Com...) (BLG)
- **Privacy management programs:** mandatory documented policies, procedures and accountability mechanisms. (Bdplaw)
- **De-identification and anonymization:** defined separately; de-identified data would have remained subject to the Act but with fewer constraints; anonymized data would have been outside it. (BLG) (David Young)
- **Private right of action:** individuals could sue for damages, but only after a finding of contravention by the Commissioner, the Tribunal, or following an offence conviction. (McCarthy)
- **Penalties** (combining administrative and quasi-criminal regimes):
 - Tribunal-imposed administrative monetary penalties of up to **the higher of CA\$10 million or 3% of an organization's gross global revenue** in the prior financial year. (Caravel Law) (Dentons)
 - For more serious knowing offences prosecuted in court (e.g., knowingly failing to report breaches, attempting to re-identify de-identified information, obstructing investigations), fines up to **the higher of CA\$25 million or 5% of gross global revenue** — the highest in the G7 and exceeding the GDPR (which caps at 4%). (McInnes Cooper)

b. The Personal Information and Data Protection Tribunal Act (PIDPTA) — Part 2

PIDPTA would have created a new **Personal Information and Data Protection Tribunal** of three to six members (a majority of whom must have expertise in privacy and information law) under the Administrative Tribunals Support Service of Canada.

Under PIDPTA:

- The **Privacy Commissioner** would investigate complaints, conduct inquiries, issue compliance orders, and **recommend** administrative monetary penalties. (priv) (McInnes Cooper)
- Only the **Tribunal** could actually impose those penalties. (BLG)
- Organizations could appeal Commissioner findings and orders to the Tribunal on a stricter standard than judicial review (correctness for questions of law; palpable and overriding

error for questions of fact). Tribunal decisions would be subject to limited judicial review by the Federal Court. (McInnes Cooper)

This bifurcated structure was a deliberate compromise between privacy-advocate calls for stronger enforcement (PIPEDA's ombuds model had no order-making or fine power) and industry concern about giving a single regulator both prosecutorial and adjudicative roles. Most observers viewed PIDPTA as the most contested structural feature of the entire bill.

c. The Artificial Intelligence and Data Act (AIDA) — Part 3

AIDA was Canada's **first attempt at general AI legislation**. It would have:

- **Regulated "international and interprovincial trade and commerce"** in AI systems by establishing common requirements for the design, development, and use of "high-impact" systems. (Gowling WLG) (Parliament of Canada)
- Required persons "responsible" for high-impact AI to assess and mitigate risks of harm and biased output, monitor compliance, keep records, and notify the Minister where systems cause or are likely to cause material harm. (White & Case LLP)
- **Established an AI and Data Commissioner** — but as a senior official designated by the Minister of Industry, not as an independent regulator. (ISED Canada) (Fasken)
- Created two penalty regimes:
 - **Regulatory penalties** for contraventions of sections 6–12: fines up to the greater of **CA\$10 million or 3% of gross global revenue** on indictment, and up to **CA\$5 million or 2%** on summary conviction. (White & Case LLP)
 - **General offences** (Part 2 of AIDA, sections 38–39) for serious misconduct — unlawfully using personal data to train AI, recklessly deploying AI likely to cause serious harm, or fraudulently deploying AI for economic loss: fines up to the greater of **CA\$25 million or 5% of gross global revenue**, plus up to **five years less a day imprisonment** for individuals. (White & Case LLP)

Crucially, as **tabled in June 2022**, AIDA did not define "high-impact systems" — the entire scope of the Act was left to regulations. This is what generated most of the criticism described below. (Fasken)

2. Legislative Timeline

- **May 2019:** Government launches Canada's Digital Charter — 10 principles framing the reform program.
- **November 17, 2020:** Bill C-11 (Digital Charter Implementation Act, 2020) introduced by Navdeep Bains; combined the CPPA and PIDPTA only (no AI component). (Lexology) (Lexology)

- **August 15, 2021:** Bill C-11 dies on prorogation as the 2021 election is called. [Office of the Privacy Com...](#)
- **June 16, 2022:** Bill C-27 introduced and read a first time.
- **November 4, 2022:** Second reading debate begins in the House.
- **April 24, 2023:** Bill C-27 passes second reading and is referred to INDU.
- **September 26, 2023:** INDU study begins; Minister Champagne is the first witness, and signals he intends to propose substantial amendments — without providing text. [Bennett Jones](#)
- **September 28, 2023:** INDU passes a motion ordering Champagne to produce the amendment text within five business days. [Lexology](#)
- **October 3 / October 20, 2023:** Champagne provides a high-level summary letter and partial CPPA amendment text.
- **November 28, 2023:** Champagne tables the detailed AIDA amendment package (more than 50 pages of motions). [Fasken](#)
- **December 12, 2023:** Quebec, Alberta and British Columbia provincial Privacy Commissioners testify.
- **January 15, 2024:** The European Commission publishes its first review of the EU's adequacy decisions (COM(2024) 7 final, accompanied by Commission Staff Working Document SWD(2024) 3 final), concluding that Canada continues to offer an adequate level of protection under the GDPR; the Commission specifically notes that "the ongoing legislative reform of PIPEDA could notably offer an opportunity to codify such developments [conditions for valid consent; definitions of sensitive data], and thereby further strengthen the Canadian privacy framework."
- **February 14, 2024:** INDU completes witness testimony (137 witnesses; 113 briefs).
- **April 8 - May 29, 2024:** Clause-by-clause review begins; only about **10 amendments are adopted, all in the preamble and definitions of the CPPA.**
- **May 29, 2024:** INDU pauses Bill C-27 study until September.
- **November 21, 2024:** INDU confirms the study will remain paused until 2025.
- **January 6, 2025:** Trudeau announces his resignation; Parliament prorogued until March 24, 2025; **Bill C-27 dies on the Order Paper.** [Blakes](#)
- **March 23, 2025:** Snap federal election called. [Gowling WLG](#)
- **April 28, 2025:** Mark Carney's Liberals win a minority government.
- **May 13, 2025:** Evan Solomon appointed as the first Minister of Artificial Intelligence and Digital Innovation.
- **June 2025 onward:** Solomon confirms AIDA will not return as drafted; signals a separate privacy bill in fall 2025/early 2026. [Cookie-Script](#)

3. What Was Actually Amended at Committee

Despite enormous attention paid to the Champagne packages, the only amendments actually **adopted** were the following first ~10 amendments to the CPPA preamble and defined terms, before the committee paused:

- The preamble was **embedded directly into the CPPA itself** (rather than only sitting in the umbrella Bill C-27) and amended to recognise the "**fundamental right to privacy**" of individuals: "Whereas the protection of the fundamental right to privacy of individuals with respect to their personal information is essential to individual autonomy and dignity and to the full enjoyment of fundamental rights and freedoms in Canada." (David Young)
- A recital recognising that "**the processing of children's information should respect their privacy and best interests**" was added — adopting the "best interests of the child" language advocated by the OPC and UNICEF Canada rather than the Minister's original "special interests of minors." (David Young) (Office of the Privacy Com...)
- A definition of "**minor**" (an individual under 18) was added. (davidyounglaw)
- A definition of "**profiling**" modelled on Quebec Law 25 was added.
- A definition of "**sensitive information**" was added (general principle plus a non-exhaustive list: ethnicity, sexual orientation, biometrics, health, political opinion, financial matters).
- "**Personal information**" was expanded to explicitly include **inferred information**.
- The definition of "**anonymize**" was changed from "generally accepted best practices" to "**no reasonably foreseeable risk in the circumstances**" of re-identification.
- A definition of "**lawful authority**" was added. (Office of the Privacy Com...)
- The French definition of "**de-identify**" was aligned with the English. (Office of the Privacy Com...)

Importantly:

- The **purpose clause (section 5)** of the CPPA was **never amended**: the committee never reached it. So the "fundamental right" language only sits in the preamble, not in the body of the law where it would have its strongest interpretive effect.
- The "**legitimate interests**" exception to consent was **never amended**.
- **Not a single AIDA amendment was moved or adopted**. The November 2023 government amendments to AIDA died as proposals, never as enacted text.
- Conservatives moved eight amendments and the NDP moved one at committee; the Bloc moved none. (Gowling WLG)

4. Main Criticisms

Of the CPPA

- **Privacy not a fundamental right in the body of the law.** The OPC, the Citizen Lab, OpenMedia, the International Civil Liberties Monitoring Group, Teresa Scassa and others repeatedly called for the recognition to be moved out of the preamble and into the body. Champagne agreed in principle, but the committee never reached section 5.
- **"Legitimate interest" exception.** Scassa called it a provision that "trivializes the human and social value of privacy." The exception (section 18(3) of the CPPA) would allow data uses without consent if a reasonable person would expect it and the organization decides the benefits outweigh adverse effects — with the organization itself doing the balancing. Unlike the GDPR's analogous provision, the CPPA test did not require the interests of the individual's "fundamental rights and freedoms" to be considered. [Open Parliament + 2](#)
- **Consent too weak.** The OPC noted PIPEDA's existing standard — that consent is only valid if a reasonable person would understand what they are consenting to — was dropped in the CPPA, replaced with a list of prescribed disclosures.
- **Tribunal would slow enforcement.** The OPC, Conservatives, NDP and OpenMedia argued the Tribunal duplicates the Federal Court and is unique among comparable jurisdictions; the OPC asked to be able to levy administrative monetary penalties directly. [Our Commons](#)
- **Open-ended regulation-making.** The Privacy Commissioner objected that the government could exempt activities from the law by regulation without demonstrating necessity.

Of AIDA

- **A placeholder with no rules.** Geist's most-quoted critique was that AIDA "is seemingly based on the premise that we need to 'do something' even if that something contains little actual detail on what that something is." The original AIDA left virtually all substantive content — including the definition of "high-impact systems" — to future regulations that ISED itself acknowledged would take at least two years to develop. [Michael Geist](#) [DLA Piper](#)
- **No genuine public consultation.** The bill was tabled with no white paper, no policy analysis, and no public consultation. The Centre for Digital Rights, Andrew Clement, Bianca Wylie, Christelle Tessono et al. (in a widely cited Citizen Lab/Schwartz Reisman report) and others repeatedly noted that the ISED Minister's claim of "more than 300 meetings" was misleading; an analysis submitted to INDU by Andrew Clement showed those meetings were heavily weighted toward industry actors, with civil society and affected communities largely excluded. [Our Commons](#)
- **Conflict of interest.** The AI and Data Commissioner would have been a senior official within ISED — the very department whose mandate, under the Pan-Canadian AI Strategy, is to "drive the adoption of artificial intelligence." Witnesses including the Privacy Commissioner of Canada, CUPE, the Privacy and Access Council of Canada, and the OECD's own best-practice principles on regulator independence all flagged this as untenable. [Biancawylie](#) [Our Commons](#)

- **Narrow scope.** AIDA excluded the federal public sector entirely — meaning AI used in border, immigration, defence, intelligence, social benefits and federally delivered services would have been outside its scope — and did not include any "unacceptable risk" prohibitions (social scoring, biometric mass surveillance, untargeted facial-image scraping, emotion recognition in workplaces) of the kind the EU AI Act forbids outright. (Our Commons)
- **Holistic AI**
- **"High-impact" definition too broad after amendments.** Once the seven classes were added, industry groups including the Canadian Chamber of Commerce noted that the AIDA scope was actually *broad*er than the EU AI Act's "high-risk" category (for example, the biometric processing class covered information related to an individual's "behaviour or state of mind," potentially capturing extended-reality and gaming products).
- **National-security and law-enforcement carve-outs.** AIDA would not apply to certain government activities, raising civil-liberties concerns about state AI uses going unregulated.
- **Bundling.** Nearly every witness who took a position on procedural design — including a coalition of 60 leading civil society organizations, corporations, experts and academics in an April 2024 open letter coordinated through the Canadian Civil Liberties Association — argued AIDA should be withdrawn from Bill C-27 so privacy reform could move forward independently. (CCLA)

Indigenous data sovereignty

The Assembly of First Nations, the First Nations Information Governance Centre, and University of Toronto scholars John Borrows and Lisa Austin all argued Bill C-27 had been drafted without the "**free, prior and informed consent**" required by Article 19 of UNDRIP, which Canada incorporated into domestic law in 2021. The legislation did not recognise OCAP® (Ownership, Control, Access, Possession), did not contain a non-derogation clause, and would have created a new Privacy Commissioner and Tribunal with authority over First Nations governments operating as "commercial entities," undermining self-determination.

Opposition party positions

- **Conservatives** opposed the omission of privacy as a fundamental right, criticised the breadth of "legitimate interest," opposed the Tribunal as unnecessary bureaucracy, and faulted the government for inadequate cybersecurity protection.
- **NDP** called for AIDA to be voted on separately, argued the bill fell short of the GDPR's standards, and submitted amendments aimed at stronger individual rights.
- **Bloc Québécois** supported the bill in principle at second reading but argued AIDA should be split off and that the legislation should be carefully harmonised with Quebec's stricter Law 25.
- **Greens** raised concerns about overbroad exemptions in section 18(3) and the absence of political parties from privacy obligations.

5. Arguments in Support

The government and supporters argued:

- **Modernization overdue:** PIPEDA dated to 2000 and pre-dated smartphones, cloud computing, social media advertising models, and generative AI.
- **GDPR adequacy:** Renewing Canada's GDPR adequacy decision was vital for trade and data flows, and the European Commission's January 15, 2024 review explicitly noted that codifying current sub-legislative protections in the CPPA "could notably offer an opportunity... to further strengthen the Canadian privacy framework." [Lexology](#)
- **Enforcement teeth:** The CPPA's penalties (up to 5% of global revenue or CA\$25 million) would have given Canada the strongest formal enforcement regime in the G7 — well above PIPEDA's CA\$100,000 cap.
- **Children's protections:** Express recognition of minors' information as sensitive, the "best interests" recital, and the prospect of regulatory limits on targeted advertising to children were broadly welcomed by UNICEF Canada and others.
- **Industry certainty:** Business groups including the Business Council of Canada and the Canadian Chamber of Commerce, while critical of specific provisions, supported the broad project of replacing PIPEDA. Tech-sector firms argued AIDA was preferable to a regulatory vacuum or fragmented provincial regimes.
- **Early AI regulation as advantage:** An April 18, 2023 open letter coordinated through Mila and signed by approximately 75 Canadian AI researchers and startup CEOs — including deep-learning pioneer Yoshua Bengio and the leaders of Canvass AI and AltaML — called for urgent passage of AIDA, warning that "unless parties work collaboratively to move AIDA forward before the summer, we are looking at significant delays" and that international interoperability with the EU AI Act and OECD principles required Canada to act. [The Globe and Mail](#) [The Globe and Mail](#)
- **OECD/EU alignment:** The November 2023 amendments adopted the OECD's definition of "AI system" and added seven classes of high-impact systems explicitly to align with the EU's risk categories.

6. International Comparison

Issue	Bill C-27 (Canada)	EU GDPR / AI Act	US
Privacy law model	Sectoral (CPPA = private sector; Privacy Act = federal public sector); commercial framing	Comprehensive, rights-based (GDPR)	Sectoral and state-led (CCPA/CPRA in California, etc.); no federal omnibus law

Issue	Bill C-27 (Canada)	EU GDPR / AI Act	US
Maximum fines	CA\$25M / 5% global revenue (CPPA criminal); CA\$10M / 3% (admin)	€20M / 4% global revenue (GDPR)	Varies; FTC actions, state AGs
AI risk tiering	Two tiers ("high-impact" and not); plus "general-purpose AI" obligations after amendment	Four tiers: unacceptable, high, limited, minimal	No federal AI law; Executive Orders and state laws (e.g., Colorado AI Act, NYC Local Law 144)
Prohibited AI uses	None	Social scoring; untargeted facial-image scraping; emotion recognition in workplaces/schools; certain biometric categorisation	None federally
Independent AI regulator	No — AI and Data Commissioner inside ISED	AI Office under Commission; national supervisory authorities	No
Public sector AI	Excluded from AIDA	Covered, with sector-specific carve-outs	Covered by Executive Order/OMB guidance

7. Aftermath and Outlook

Prorogation on January 6, 2025, killed Bill C-27, Bill C-26 (cybersecurity), Bill C-63 (online harms) and other digital-policy legislation. The Liberal leadership campaign elected Mark Carney; a snap election on April 28, 2025 returned a Liberal minority. The new government **created a dedicated Ministry of Artificial Intelligence and Digital Innovation** and appointed Evan Solomon as its first minister on May 13, 2025.

Solomon has consistently signalled that:

- **AIDA will not be reintroduced as drafted.** Any AI regulation will be in a separate, narrower bill, expected to follow a renewed national AI strategy launched in fall 2025/early 2026. BetaKit
- **Privacy reform will be tabled separately**, expected in late 2025 or early 2026, building on the bipartisan consensus that the CPPA's broad outlines (modernised consent, enhanced individual rights, stronger enforcement) should survive.
- The guiding principles will be "**light, tight, right**" — meaning narrowly targeted at real risks, with room for innovation. CPA Ontario

- The new strategy will focus on **scaling Canadian AI champions, accelerating adoption, building trust, and pursuing digital sovereignty** (including a Canadian sovereign cloud project). [The Walrus](#)

A **28-member AI Strategy Task Force**, announced by ISED on September 26, 2025, was struck "composed of representatives from across academia, industry, think tanks and NGOs," alongside a public consultation that drew **over 11,300 respondents** — described in ISED's February 2, 2026 published summary "Engagements on Canada's Next AI Strategy: Summary of Inputs" as "the largest public consultation in the history of Innovation Science and Economic Development Canada (ISED)." [Canada.ca](#) [ISED Canada](#)

For Canadian businesses and consumers, the practical implications are significant:

- **Federal private-sector privacy law remains PIPEDA (2000)**, with administrative penalties capped at \$100,000 per violation — a fraction of what the CPPA contemplated.
- The **Office of the Privacy Commissioner** still has no order-making or fining power. It can investigate and recommend; major enforcement requires a Federal Court application.
- **Quebec's Law 25** (fully in force as of September 2024) has filled much of the federal vacuum, and many national businesses are using Law 25 plus the GDPR as their de facto compliance baseline. [Cookie-Script](#)
- **Canada has no federal AI-specific law.** AI systems are governed by laws of general application (PIPEDA, the Canadian Human Rights Act, the Criminal Code, sectoral regulators), supplemented by the **Voluntary Code of Conduct on the Responsible Development and Management of Advanced Generative AI Systems** (September 2023), and the federal **Directive on Automated Decision-Making** (which applies only to federal government use of AI, not the private sector).
- **GDPR adequacy holds for now** — the European Commission's January 2024 review preserved Canada's adequacy status — but the next review is expected in 2028, and the Commission has signalled that codification of current sub-legislative protections (which Bill C-27 would have provided) is desirable.

Recommendations

Stage 1 (immediate, 2025-2026): Treat C-27 as a preview, not a final answer. Organisations subject to Canadian privacy law should now align internal practices with what would have been required under the CPPA — privacy management programs, documented retention and disposal, mechanisms for honouring access/correction/disposal/portability requests, and impact assessments for high-risk processing including AI. The cost of doing this now is far lower than the cost of catching up when (not if) federal reform passes. Quebec's Law 25 and the GDPR provide ready-made compliance templates that exceed what any plausible federal reform will require.

Stage 3 (AI regulation): Decouple, consult, and align. A future Canadian AI law should (a) be a standalone bill, not bundled with privacy; (b) be preceded by a genuine public consultation including civil society, Indigenous governments and labour, with publicly disclosed policy analysis; (c) place the AI regulator outside the department promoting AI adoption; (d) include "unacceptable risk" prohibitions comparable to the EU AI Act; (e) cover the federal public sector; and (f) include explicit recognition of Indigenous data sovereignty and OCAP® principles.

For businesses operating cross-border: Build to the higher standard. The marginal cost of GDPR/Law 25 compliance over PIPEDA compliance is small relative to the risk of multiple parallel reforms over the next 24–36 months.

Trigger that should change the above: If, by mid-2026, no successor privacy bill has been tabled, the Office of the Privacy Commissioner is likely to push provincial regulators (notably Quebec's Commission d'accès à l'information) to fill the federal gap, and any GDPR adequacy uncertainty in the lead-up to the 2028 EU review would compress timelines further.

Caveats

- **Sources sometimes loosely describe amendments as "adopted" that were actually only proposed.** The Champagne packages of October and November 2023 were widely covered as if enacted, but in fact only about ten amendments — all in the CPPA's preamble and definitions — were ever adopted by INDU at clause-by-clause. Section 5 of the CPPA was never amended; the "legitimate interests" exception was never amended; and **no AIDA amendment was ever adopted.**
- **Quoted superlatives about Canadian AI regulation are aspirational.** Government claims about Canadian leadership in responsible AI generally referred to the *intent* of AIDA, not enacted law. Canada has, to date, never had a binding federal AI statute in force.
- **The "300 meetings" figure cited by Minister Champagne has been contested.** Andrew Clement's analysis submitted to INDU showed the consultation list was heavily industry-weighted; readers should treat the government's consultation claims as advocacy rather than independent fact.
- **Speculation about reintroduction is just that.** Minister Solomon's public statements have signalled intent and timing ("light, tight, right"; privacy bill in late 2025/early 2026), but as of May 2026 no new federal privacy or AI legislation has been introduced. Past prorogations (notably Bill C-11 in 2021) show that "imminent" reintroduction can slip by years.

- **The OCAP® principles described here are a First Nations framework, not a pan-Indigenous one.** Métis and Inuit data-governance frameworks differ; any future legislation will need to engage each rights-holder distinctly.
- **Penalty figures are theoretical maxima**, applicable only to the most serious knowing offences after a successful prosecution; the Tribunal would have had discretion to set lower amounts based on statutory criteria, and a due-diligence defence would have been available against administrative penalties.